

Finals review

Evaluate marketing strategy of one brand

- strategy STP
 - Segmentation, customer segmentation : separate customers into segments
 - Target : select the target segment we are looking for, and targeting strategy
 - Positioning : brand positing, and why our product is unique
- 4P tactics
 - Product : evaluate product based on customer needs and product characteristics
 - Price : price perception, setting, strategy and justification
 - Place, promotion
 - Distribution : channel that fits with the brand
 - Communication :

Guideline

- market **position**, **target audience**, and product attributes
- competitive landscape
- key **consumer**. And **behaviors** and preference
- **Pricing**, **distribution**, and **promotional** strategy
- strategic challenges and opportunities

Segmentation

- Demographics
 - Practical attributes of people
 - Age, gender, income, marital status, and ethnic background
 - **who they are**
- Psychographics
 - **Personality** and attitudes
 - Activities, attitudes, personality and values
 - **how they live their life**
- Behavioral
 - **How the product is used, used for what**
 - Benefits, usage rate, patterns
 - **how they use products**
- Geographics
 - areas where customers live, **area in terms of customer segment, how large is our customer segment**

- Local, national, international, regional
- where they are

STP is segmentation, targeting, and positioning. 4P is product price place promotion

Customer segments

After segmentation, we figure out the behavioral factors of each segment, to figure out what do they want?

Evaluating market segment

- market attractiveness factors
 - Customer needs and behavior
 - Are there unmet/underserved needs we can satisfy?
 - Market, segment size, growth rate
 - Market potential in units, revenue, number of potential customers
 - Growth rate
 - Macro environment, are they favorable?
 - External factors : Sociocultural, economic, political, technological, environmental
- Competitive-position factors
 - opportunity for competitive advantage
 - can we differentiate?
 - stage of competing product in product life cycle
 - Firm and competitor and capabilities and resource
 - Management strength
 - Financial resources
 - brand image
 - relative market share
 - attractiveness of industry we would compete
 - Threat of new entrants/substitutes, buyer, power, supplier power...

Evaluating market segment

- Market attractiveness factors
 - Is there a pain point we can solve?
 - Is market potential strong enough? Worth it?
 - External factors, do they help us or get in the way?
- Competitive-position factors
 - If we get in, can we be unique?
 - Is our firm strong enough in terms of resources to compete?
 - Is our brand image strong enough?
 - Market share as well, what is our market share?

- Is the industry we would compete in worth it? Does it make money? Enter fees, and cost and size of the industry, from small time application to a barn business

we evaluate these factors based on segments

- size, growth, profit margin
- competition, strategy to enter, resource needed, capability (expertise, and capable of entering, are we good enough?)

Select target segment

- Undifferentiated (mass)
 - Differentiated (various segments at once)
 - concentrated (niche)
 - micromarketing (local, individual)
- Factors which influence target segment coverage
- company resources
 - product variability
 - market variability
 - product life cycle
 - competitor's strategy

Mass marketing

- For
 - Convenience, and economical **economy of scale**
- Against
 - Inefficient, **expensive promotional cost** trying to reach everyone
 - Ineffective
 - **harder to satisfy everyone**, cant be all things to people

Differentiated marketing

- For
 - remain competitive
 - **various offerings to various segments** would give good **customer satisfaction**
 - response to change in the market, **product in changed segment, changed, not entire company**
- Against
 - **High cost** for specialized product

Niche marketing

For

- Small firm with limited resource (can focus only on one segment)
- Small market, means less competitor
- Niche customers stay loyal and willing to pay higher, because we serve them well
- ==strong market position ==and reputation

Against

- Slow growth
- low barrier to entry
- brand image got stuck to that segment, limits marketing potential

Micromarketing

For

- market effectively in regional and local
- Build relationship with customer
- Support technology available for specific targets

Against

- Loose economy of scale
- Vague brand image ==because try to do ==many areas and be too different

Differentiation attributes

become unique

- products
- services
- personnel (employees, good talking, smart employee, responsiveness)
- channel (coverage, performance, access location)
- Image

Positioning map

Identify two important attributes which makes our brand stand out compared to competitor

Positioning for each target segment

Product differentiation doesn't last long since it can be copied (like Pepsi and coke)

- Position means brand image which makes us stand out, "perception, impression, and feelings"

position base

base on what, the position can be based on

- attributes

- benefit
- price/quality
- competition
- use/application
- product/user
- product class

Positioning statement

- explain your product with key features
- solve customer's problems
- delivery specific benefit
- why they should buy from me?

Product, solution, benefits, why us?

Total offer

product can offer many benefits, but there are level to ts

- Core benefit, core of our product
- Expected attributes : many some good things, indirect that come with it
- Add-on attribute : people don't care, but good to have

Communicate "benefits" not feature

- attributes : MacNeo, light, good battery life, small
- Say goodbye to heavy bag, work anywhere you want, fit in any bag. Anywhere, anywhen, however you want

Product characteristics influence adoption rate

When people will adopt it?

- relative advantage : far better than existing technology
- Observability : demonstration, Youtube how-to-use
- compatibility : integrated with legacy system
- complexity : hard to understand and use?
- Trial availability : self-explanatory

Product life cycle

Product passes through 4 stages, each stage poses different challenges and require different strategies.



Characteristics	Introduction	Growth	Maturity	Decline
Sales	Low Sales	Rapidly rising	Peak	Declining
Costs	High cost per customer	Avg cost per customer	Low cost per customer	Low cost per customer
Profits	Negative	Rising	High	Declining
Customers	Innovators	Early adopters	Middle majority	Laggards
Competitors	Few	Growing	Starting to decline	Declining
Marketing Objectives	Create awareness and induce trial	Expand market share, segment	Maintain profit Defend market share	Reduce cost Delete, harvest, rejuvenate

ok -> has potential -> peak sales -> gone

Extending product life cycle

- market modification
 - increase frequency of use (lower product performance??)
 - increase target segment, target other people or increase size of segment
 - finding new user
- product modification
 - alter characteristics, new mod
- reposition product (change image), rebrand (change name, logo)

Price perception

Value = perceived benefit - perceived cost

is it even worth it?

- effective price setting is understading how much customer values our product and set the right price
- price vs reference price
 - past price
 - cost : raw materials, advertisement, rent
 - purchase context : distribution

Factors which affect price decision

- Internal
 - **marketing objective**, what do we want, luxury or pull-rope
 - Market share, volume, profit, prestige
 - marketing strategy
 - STP, mk mix
 - production cost
 - organizational factor
- External
 - consumer
 - customer's value, market size, and price sensitivity
 - competition
 - competition's pricing
 - Economic and regulatory factor **law**

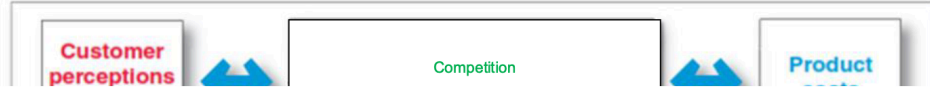
select an approximate price level using 3C method

"customer, competition, cost"

- customer : perception of value,
 - price ceiling : no demand above this price
- competitor : set price based on competitors' strategies, costs, prices, and market offerings
- cost : production cost, no price below this

Select an approximate price level using 3C methods

Prices are based on three dimensions - cost, customer value, and competition.



New product pricing

- **market skimming price**
 - high price
 - profit oriented
 - image, quality, inelastic demand, little or no competition
 - มึงต้องซื้อถูกเท่านั้น Ysev
- **market-penetration pricing**
 - low price
 - market share
 - economy of scale
 - elastic demand
 - high competition
 - กูไม่ต้องใช้ก็ได้ local ice cream

Product mix pricing

- pricing, selling multiple products that are related to each other to maximize profit
- "macbook and hub"

Price adjustment strategy

- discount and allowance
- segmented pricing
 - Different customers, different locations, different products
- psychological pricing
 - 99.99
- promotional pricing
 - temporary reduce price for sell surge
- geographical pricing
 - price change based on location
- dynamic pricing
 - change price to satisfy characteristics and needs of individual customers based on situations
- international pricing
 - adjusting prices based on international market

Distribution channel functions

- transactional function
 - help buy wholesale, resell, take risk of stock stuck moving money from customers to firm
- logistical function
 - Assorting : find products from many sources to serve customer
 - Storing
 - Sorting : purchase products in large quantity and break it down into smaller amounts desired by customers
 - Transport : physically move products to customer
- Facilitating function
 - financing : UFund
 - grading : inspect test and assign products based on quality
 - marketing information : providing info to customers and supplier, including competitive condition and trends

Identify major channel alternatives

- number of levels
 - direct vs indirect channel (short, long)
 - dual/multi distribution
- Type of intermediaries
 - types of wholesaler (outlet, merchant, agent), retailer (store, sales force, and online/mobile/machines)
- Number of intermediaries (intensity at each level)
 - Intensive distribution
 - Exclusive distribution
 - Selective distribution

Distribution, advantages and disadvantages

- direct
 - Pros
 - High quality contact
 - control marketing mix (price promotion, service, quality)
 - Cons
 - Smaller coverage, take longer time to penetrate
 - has fixed cost
 - limited solution
- Indirect channel
 - Pros

- Large coverage
- quick penetration time
- Utilize channel's expertise and resources and knowledge
- cons
- High cost, smaller margin
- ==hard to control ==channel
- **reliant on channels**

When to use what distribution channels?

- direct
 - **Identifiable customer**
 - product requires **extensive demonstration**
 - wide ==variety of offerings ==for the target market
 - ==Sufficient resources ==available
 - **Intermediaries not available** or not capable
- Indirect
 - **Large no. of customers**
 - ==hard to reach ==customers
 - product serve market in **different areas**
 - product used **heavily, frequently**
 - **insufficient resources**
 - **intermediaries ==perform more ==efficiently and cheaply**

Levels of intermediary

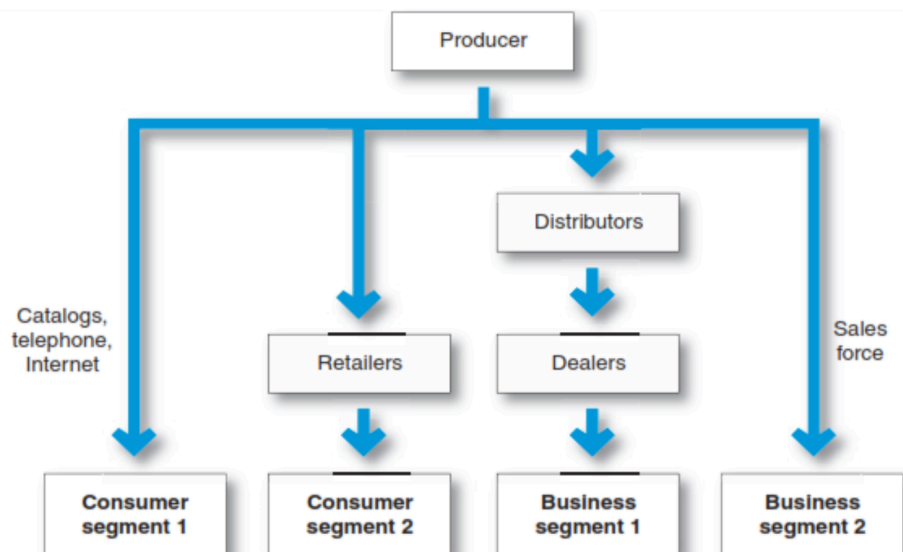
- 1-level
 - Firm -> retail -> consumer
 - **durables goods, electronics, insurance**
 - Pros : manufacturers cover **wide area ==while retaining ==control**
- 2-level
 - Firm -> wholesale -> retail -> consumer
 - **fast moving consumer goods (FMCG)**
 - markets spread in large area
 - works best if **retailers** are ==independent ==from each other
 - value of individual purchase is small
 - frequency of purchase is high
- 3-level
 - firm -> ==agent -> wholesaler ==-> retailer -> consumer
 - Sold by large company
 - ==Wholesalers scattered ==across the country

- FMCG, garment, durable industry

Dual distribution and multi-channel

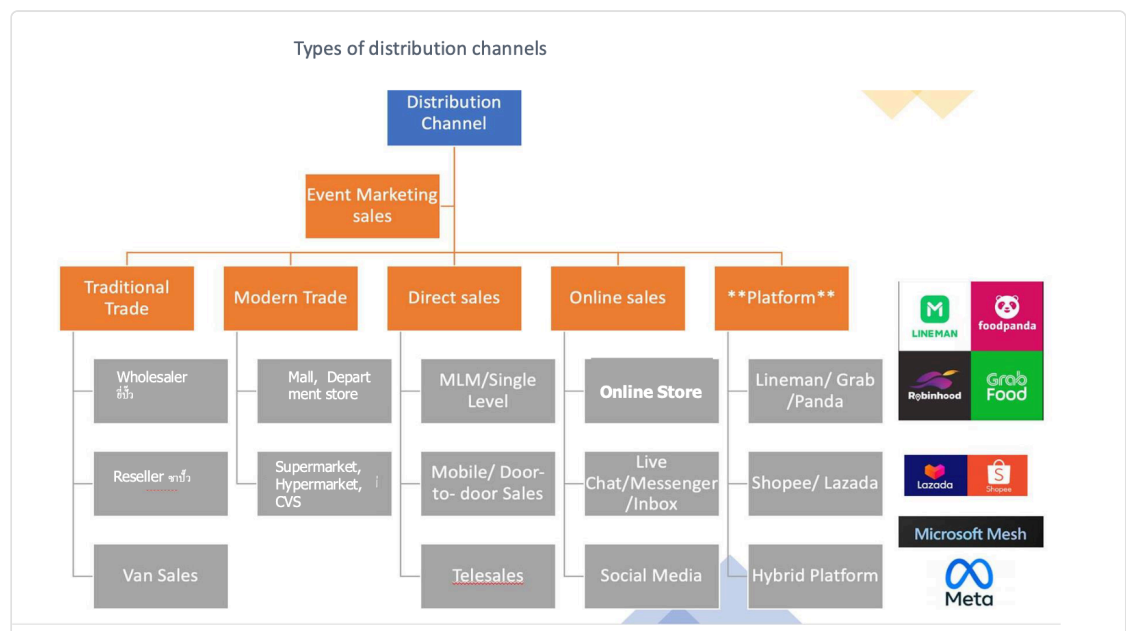
- Dual : direct + indirect
- Multi : use various channels simultaneously to reach firm's target market
- Objectives
 - To ==maximize firm's coverage ==in marketplace
 - Increase cost-effectiveness ==of firm's ==marketing effort
- Occasion
 - Multi-brand
 - Geographical factor
 - Large and small retailer
 - customers in different segment
- Consideration
 - The channel provides incremental sales compared to existing sales

• Multiple channels serve multiple segments



Advantages and disadvantages

- Pros
 - Reach more and different kinds of customers. **Reach diverse customers**
 - Tailor **offerings** to the specific needs of **diverse segment**
the more channels, the more loyal customers
- Cons
 - **Hard** to manage and **control**
 - Price quality promotion
 - **compete among channels**, causing potential conflict
 - Dell stuck in the middle between retailers and sales representative
It's important to integrate various channels to ensure consistent, seamless experience across channels. Omni-channel



Different types of retail stores

- shopping mall
- department store
 - sell goods, like Central
- supermarket
 - sell food
- hypermarket
 - combination of supermarket and department store

- convenience store
- speciality store
 - Store which sells a certain type of product
 - Boots, Watson, IKEA, HomePro
- Warehouse store
 - Wholesale warehouse store, sell in bulk
 - Makro and Costco?
- Community mall
 - Mall that is tied to local area, where locals hang out
- Pop-up store
 - Small stores that pop up in events to attract people to their main store

Distribution intensity

Distribution Intensity

Intensity Level	No. of Intermediaries	Objective	Types of product	No. of customer
Intensive	Many	Achieve mass market selling.	Convenience goods	Many and dispersed. Convenience shopping
Selective	Some	Achieve broad coverage and medium sale	Shopping and some specialty goods	Several. Medium effort. Brand focus
Exclusive	One, a few	Build the image and brand loyalty	Specialty goods and industrial equipment	Fewer. High involvement and loyalty



selecting marketing channels

Selecting MK Channel

	Characteristics of Short Channels	Characteristics of Long Channels
Market Factors	Business users Geographically concentrated Extensive technical knowledge and regular servicing required Large orders	Consumers Geographically dispersed Little technical knowledge and regular servicing not required Small orders
Product Factors	Perishable Complex Expensive	Durable Standardized Inexpensive
Organizational Factors	Manufacturer has adequate resources to perform channel functions Broad product line Channel control important	Manufacturer lacks adequate resources to perform channel functions Limited product line Channel control not important

Communication channel

- objectives
 - increase brand awareness
 - enhance brand image, interest
 - stimulate purchase, repurchase, referral
- "Objectives may be set to move buyers through adoption process"
- Information : awareness, interest -> attention
- Persuading : evaluation, trial -> desire
- Reminding : decision, confirmation -> action

Communication : target audience

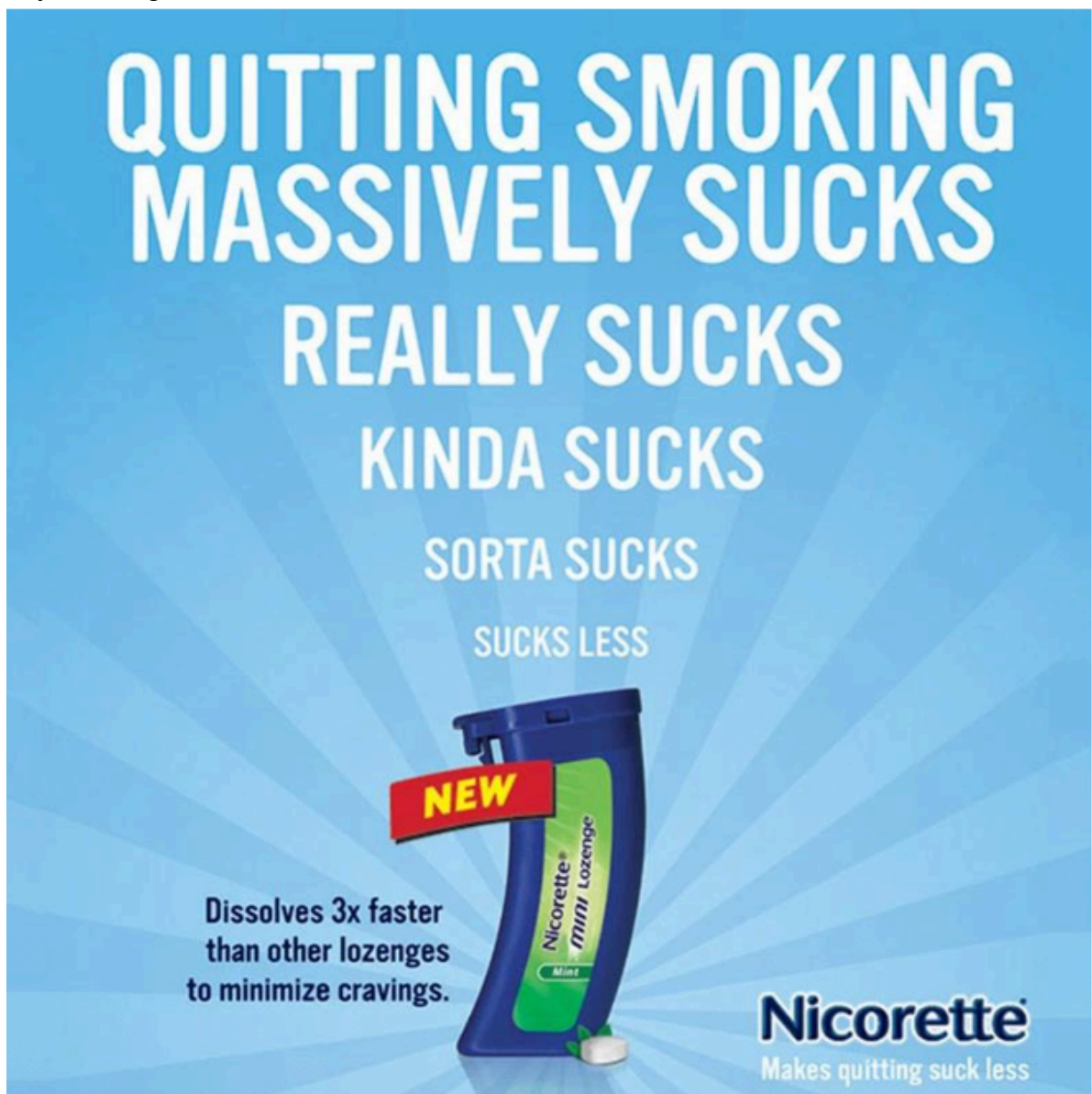
- primary audience : group we want to reach
- secondary audience : may not be interested in product, but can influence primary audience

"target audience affects what will be said, how, when, where it will be said, and who will say"

Communication : Designing a message

- We need a clear impactful "big idea" message, memorable

- message has to be
 - creative
 - big
 - memorable
 - differentiated to **stand out** generate attention
- big idea has 3 elements
 - Insight about problem/motivation
 - brand connection
 - key message



Communication : uncover an insight

- research target audience and product category to find truth about
 - customer's **pain point**
 - ==motivation forces ==behind one's thoughts/behaviors
- Example
 - Electric razor is less masculine

- Diet coke is for woman
- high school students wearing makeup as a form of investment
- "When you are hungry, it's hard to concentrate and hard to focus on what matters. You don't perform to the level you normally do because there's something missing"

Communication : find brand connection

- insight (the thought behind it, deep) enables a brand to come up with solutions/product to challenge ==consumer's ==pain point
- List unique features and benefits of products that are relevant to the insight that competitors cannot imitate
- "snicker is the perfect way to get back to being yourself. Packed full of peanuts, caramel, nougat, and milk chocolate. Snickers satisfies your hunger - all in a quick and easy-to-carry snack"

Communication : articulate the idea

- call-to-action needs a hook
- one sentence
- find a way to phrase the sentence to hook or grab attention
- "You're not you when you're hungry"
- "There is a reason why Johnnie Walks, don't drink and drive"

Communication : channel

- To get story to target audience, it's essential to figure out how to get them to interact with you
- touch point where, when, and how story is shared
- how can you share the message with maximum exposure?

Step 4: Communication channel

Personal

- Direct communication
 - Face to face/Skype
 - Phone
 - Mail, E-mail, Line
 - Web board, Social media
- Channels
 - Direct control: salesperson

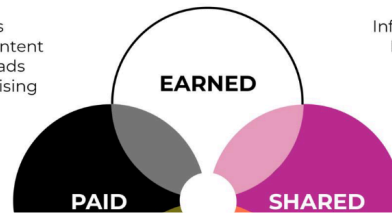
Nonpersonal

PAID

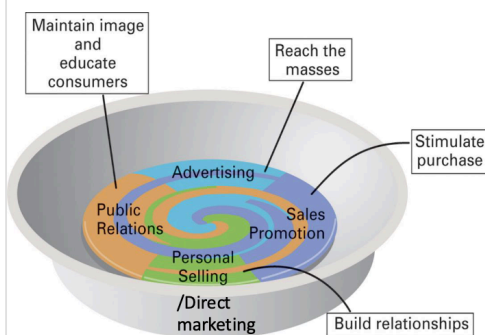
Advertorials
Boosted posts
Sponsored content
Social media ads
Digital advertising

EARNED

Media relations
Influencer relations
Blogger relations
Word of mouth
Link building



Step 4: Communication mix: A specific blend of marketing communication tools



Advertising	Sales Promotion	Public Relations	Personal Selling	Direct Marketing
Print and broadcast ads	Contests, games, lotteries	Publication Identity	Sales presentation	Catalogs Mailings
Outdoor and In-store ad	Sampling Premiums and gifts	Community program	Sales meetings	Telemarketing TV direct
Product placement/ Guerrilla	Fairs and trade shows	Publicity	Incentive programs	Kiosks
Online ad	Discount and allowance	Event/ Sponsorship	Samples	Online and mobile

5A and Touchpoints

Stage	Characteristics	Touchpoints
Aware	- Introduce the brand to potential customers - Focus on visibility and reach - Goal: Capture attention	- Traditional ads, Digital ads, PR
Appeal	- Build interest and connection - Engage emotions or logic - Goal: Generate curiosity and preference	- Branded Content, Influencer Marketing, PR
Ask	- Customers seek more information - Build trust and answer questions - Goal: Equip customers to make informed decisions	- Digital Tools (Websites, comparison sites, FAQs), Reviews, Interaction (Chatbots, live shopping, social media Q&A)
Act	- Drive conversions - Reduce friction during purchase - Goal: Encourage action with compelling offers	- Sales Promotions, Direct Marketing, - Retargeting Ads, In-store
Advocate	- Satisfied customers share positive experiences - Focus on loyalty and word-of-mouth - Goal: Transform customers into brand ambassadors	- Loyalty Programs, UGC, Referral Programs, Community

Awareness tools

Objective	IMC Tools	Details
Create brand recognition	- Advertising: TV ads, radio ads, YouTube pre-rolls, digital display ads.	Broad reach to mass audiences; focuses on memorable slogans, visuals, and jingles.
Build visibility	- Social Media Marketing: Viral challenges, branded hashtags.	Encourages engagement through shareable content; hashtags like #ShotOniPhone create organic visibility.
Generate buzz	- Public Relations (PR): Press releases, media coverage, influencer mentions.	Announce new products or campaigns to the press, leveraging influencers for earned media coverage.
Drive discovery	- Content Marketing: Blogs, infographics, brand storytelling.	Provides educational or entertaining content to attract potential customers; builds SEO visibility.
Optimize visibility online	- Search Engine Marketing (SEM): Paid search ads, SEO strategies.	Paid ads appear on search engines; SEO ensures the brand ranks high in organic search results.
Catch attention in public	- Outdoor Advertising: Billboards, transit ads, posters.	Visually impactful in high-traffic areas, driving immediate attention.

Appeal tool

74

Objective	IMC Tools	Details
Create emotional connection	- PR: Positive media narratives about the brand or product.	Stories or events covered by the media that resonate emotionally with the audience.
Spark interest	- Social Media Marketing: Engaging posts, storytelling campaigns, polls. - Influencer Marketing: Authentic reviews, endorsements, lifestyle integrations.	Relatable or aspirational posts that connect to users' values or desires. Leverage influencers to demonstrate product benefits in real-life scenarios.
Inspire and resonate	- Video Advertising: Emotional stories, reels, or short-form videos on YouTube/Instagram.	Use storytelling to show how the brand or product enhances life, focusing on benefits rather than features.
Build aspirational value	- Experiential Marketing: Pop-up activations, events, and product demonstrations.	Hands-on or sensory experiences that help audiences connect with the brand.

Ask tools

75

Objective	IMC Tools	Details
Provide product details	- Content Marketing: Product guides, explainer videos, FAQ blogs. - Interactive Tools: AR/VR product demos, interactive websites.	Help consumers explore features, benefits, and uses of the product in depth.
Build trust and credibility	- Reviews and Testimonials: Peer reviews on platforms like Google or e-commerce sites. - Direct Marketing: Email or SMS with detailed product features or comparisons.	Leverage authentic feedback from past buyers to reduce hesitation.
Address customer doubts	- Webinars and Live Demos: Address concerns in real time.	Personalized communication that clarifies specific concerns or highlights benefits.
Help with informed decisions	- Comparison tool: SEO-optimized blogs, comparison pages/widgets	Create content that ranks high in search results for research-based queries.
Engage in real-time Q&A	- Customer Support: AI chatbots, live chat support, interactive Q&A.	Directly address consumer questions through responsive platforms.

Act tools

76

Objective

Drive conversions

Trigger immediate action

Re-engage potential buyers

Simplify transactions

Build loyalty incentives

IMC Tools

- **Sales Promotion:** Discounts, limited-time offers, free trials, gift-with-purchase.

- **Direct Marketing:** Personalized email/SMS campaigns.

- **Social Media Retargeting Ads:** Dynamic ads targeting cart abandoners.

- **Checkout Optimization:** Buy Now Pay Later (BNPL), quick checkout options.

- **Loyalty Programs:** Highlighting points earned or bonus rewards during purchases.

Details

Create urgency and incentivize purchases with tangible benefits.

Highlight exclusive offers or discounts to encourage immediate response.

Use personalized ads to remind users of products they viewed or abandoned in their cart.

Reduce friction during the purchase process with easy payment options.

Encourage repeat purchases by offering rewards for every transaction.

Objective	IMC Tools	Details
Turn customers into fans	- User-Generated Content (UGC): Sharing posts or reviews with branded hashtags.	Encourage customers to showcase their experience with the product or service.
Create shareable experiences	- Social Media Marketing: Features like Spotify Wrapped or special celebratory posts.	Develop content that celebrates customers' engagement with the brand.



- **Event:** Dyson set up a 'Hair Rescue Station' with their premium Dyson Supersonic hair dryers at the 'Songkran Siam' event.
- **Service:** Offered free hair drying for participants and special deals to encourage purchases.
- **Marketing Impact**
 - Over 2,700 people used the service in 3 days.
 - Achieved over 2 million online impressions.
 - Generated significant organic buzz on Twitter, Facebook, Instagram, and TikTok.
 - Over 63,000 retweets and 400 quotes on Twitter.
 - 99% positive comments online.
 - Free media exposure through attendee reviews and shared stories.
- **Follow-up Campaign:** "Dyson Styling Pop-up in 5 Minutes" - a mobile salon experience, enabling trials of the Dyson Supersonic.



- **Market Position:** Despite being a premium player in the hair dryer market, Dyson faces the challenge of its high-priced flagship product, the 'Dyson Supersonic', making it intimidating for customers to try it in stores.
- **Strategic Placement:** Dyson brilliantly addresses this by setting up booths at events like Songkran, where people with wet hair are eager to try the product.
- **Marketing 5.0 Model:** Dyson effectively combines the first four stages of Philip Kotler's 5A's model (Aware, Appeal, Ask, Act) in one place, accelerating the fifth stage, Advocate.
- **Engagement:** This strategy creates an organic buzz and turns customers into brand advocates.
- **Lesson for Brands:** Identify your business's pain points that hinder the customer journey and strategically place your product to encourage trials and organic advocacy.



Marketing Campaign

- To aid the communication planning process, marketing managers often use a campaign approach e.g. Just do it, Get Mac, Real beauty, A diamond is forever
- **A campaign** is a planned, coordinated series of marketing communication efforts built around a single theme or idea and designed to reach a particular goal (e.g. increase awareness, change attitudes or behavior)
 - The theme may take the form of a slogan e.g. Sharing a Coke.
 - The theme may refer to a stage in the product life cycle e.g. McDonald's All-Day Breakfast rollout
- In a successfully operated campaign, all activities and tools will be well coordinated to build on one another and increase the overall impact. A single campaign may include
 - **Advertising** : A series of ads posted on the Website, YouTube, Facebook, and other social media
 - **Public relations:** A press release announcing something newsworthy in connection to the campaign focus, objectives, and target segment(s)
 - **Direct marketing:** Direct mail sent to target segments, reinforcing the messages from the ads
 - **Sales promotions:** In-store display materials reflecting the same messages and design as the ads, emphasizing point-of-sale impact
 - **Personal selling:** Preparation for customer sales representatives about the campaign to equip them to explain and demonstrate the product benefits stressed in advertising

Measure and Outcome

Measures

- TV
 - the number of audience actively watching TV on a specific hours and rating on advertising
- Social media
 - counting the posts shared through this platform with the hashtag #Morning Win
 - the number of audience reached by analysing Social Media's PPC and PPV (Pay per click & Pay perView)
- Campaign awareness and sponsorship effectiveness via usage and attitude surveys

Outcome

- BelVita's advertising campaign won up to 7% of brand awareness in 5 weeks of its launch (The Guardian 2014).
- BelVita also won 30% more followers in Social Media platforms and collected more than 748 million impressions (Ad Week 2014).
- BelVita's hashtag #Morning Win was used 2,516 times by the end of January 2014, receiving 5,172 favourites and 2,432 retweets within just a month of launching it (Bysani 2014)